

MODULE 08

STUDENT DOWNLOAD | SHOP-FLOOR WORKBOOK

Building the Final Price

A final pricing checklist with markup-versus-margin formulas and a full price-stack review.

A job won at a loss is not a win. It is unpaid stress with a purchase order attached to it.

Use this immediately after watching the module. The goal is not paperwork for the sake of paperwork. The goal is to slow down the quote just enough to stop missed cost, unclear responsibility, and margin loss before the job is won.

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WORKSHEET

Markup vs. Margin Cheat Sheet

Markup is added to cost. Margin is the percentage of the final selling price you keep.

TARGET GROSS MARGIN	SELLING PRICE FORMULA	EQUIVALENT MARKUP ON COST
10%	Cost / 0.90	11.1%
15%	Cost / 0.85	17.6%
20%	Cost / 0.80	25.0%
25%	Cost / 0.75	33.3%
30%	Cost / 0.70	42.9%
35%	Cost / 0.65	53.8%
40%	Cost / 0.60	66.7%

WORKSHEET

Final Price Stack

Make sure the full cost is included before margin is applied.

COST BUCKET	AMOUNT / NOTES
Material and material waste	
Freight, delivery, and handling	

COST BUCKET	AMOUNT / NOTES
Shop labour	
Install labour	
Consumables, hardware, anchors, fasteners	
Equipment, lift, crane, rigging, tools	
Subcontractors / outsourced work	
Engineering, detailing, shop drawings	
Mobilization, travel, safety, orientation	
Project management / admin	
Overhead	
Risk / contingency / reserve	
Target margin	
Taxes, if applicable	
Final sell price	

Slow down before you send the number.

CHECK	NOTES
Did I use loaded labour cost and sell rate correctly?	
Did I include overhead and realistic billable hours?	
Did I price risk instead of hiding it inside profit?	
Did I calculate target margin correctly?	
Does the price compare reasonably to past work and market reality?	
Is this job worth winning at this price?	
Does the quote wording protect the number?	

WORKSHEET

Simple Pricing Practice

Use this to teach the difference between markup and margin.

COST	TARGET MARGIN	FORMULA	SELLING PRICE	PROFIT
\$10,000	10%	$10,000 / 0.90$	\$11,111	\$1,111
\$10,000	15%	$10,000 / 0.85$	\$11,765	\$1,765
\$10,000	20%	$10,000 / 0.80$	\$12,500	\$2,500
\$10,000	25%	$10,000 / 0.75$	\$13,333	\$3,333
\$10,000	30%	$10,000 / 0.70$	\$14,286	\$4,286

WORKSHEET

Apply This To A Real Job

Use the space below to connect the lesson to an actual estimate you are working on.

APPLY THIS TO MY NEXT ESTIMATE	NOTES
One thing I will use immediately	
One question I need to ask before I price	
One assumption, exclusion, or clarification I should write down	
Extra notes / reminders	